

Barton Biggs. He was a longtime strategist at Morgan Stanley and then a hedge fund manager and author. (*Hedgehogging* is his best book and worth reading.)

But Biggs was something of a catastrophist. History's periods of great wealth destruction, where the Four Horsemen of the Apocalypse ran wild, transfixed him. He worried about disasters happening again. He asked the timeless question "How to do you preserve wealth in times when the Four Horsemen are on the loose?"

It was one of the two questions that, in his own words, "long obsessed" him. The other was whether the stock market was wise in its judgments or merely a "foolish consensus of crowds."

One of his books, *Wealth, War and Wisdom*, dealt explicitly with these questions through the lens of World War II history, a hobby interest of his.

On the wisdom of crowds, Biggs found that the stock markets of the world showed "surprisingly good intuitions at the epic turning points. As the old saying goes, when coming events cast their shadows, they often fall on the NYSE."

He wrote how

- "the British stock market bottomed ... in 1940 just before the Battle of Britain";
- "the US market turned forever in late May 1942 around the epic Battle of Midway"; and
- the German market "peaked at the high-water mark of the German attack on Russia just before the advance German patrols actually saw the spires of Moscow in early December 1941."

"Those were the three great momentum changes of World War II," he wrote, "although at the time, no one except the stock markets recognized them as such."

I must admit those are amazing intuitions. It's easy to write off the market as nutty when it doesn't agree with you, but Biggs made the case that the collective judgment of the market can be wiser than we allow. In any event, this is tangential to what I consider the meaty second question.